STRENGTHENING SPOTIFY

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SWOT ANALYSIS OF SPOTIFY

Strengths	Weaknesses	Opportunities	Threats
Reputable Brand name	Underpaid Artists and Creators	Integration with smart devices	Fierce Competition
Curated Playlists	Company is focused more on growth and less on revenue	Artists going live	Piracy, data privacy and lack of cybersecurity
Freemium Model	Regional Restrictions	Promoting regional artists as per region and age	Dependence on record label companies

WHY SPOTIFY LOSES MONEY?

- The heart of the problem is the high royalty fees it has to pay others for streaming their music. For every dollar in revenue Spotify makes from streaming music, nearly two thirds are paid to the rights holders of the music, leaving only one third for itself to pay for all of its other costs, which includes R&D, S&M, G&A as well as taxes to name a few. This is unsurprisingly not enough for Spotify to cover all of these costs, let alone leaving a little extra for it to pocket as profits.

- The party that Spotify actually pays most of its royalties towards, is comprised of 3 companies – Universal Music Group, Sony Music Entertainment and Warner Music Group, commonly known as the Big 3. Together these 3 companies holds a 70% share of the music recording industry, and 60% share of the music publishing industry. The difference between having and not having any one of the Big 3's music library is literally life or death for Spotify, which therefore gives the Big 3 significant leverage over Spotify, and is the main reason why Spotify has to pay them nearly 70 cents of every dollar it makes, leaving little room for potential profits.

ANALYSING THE PROBLEM

Spotify's decision to remove free features limits user engagement and potential revenue in several ways:

- **Reduced accessibility:**

Users may be less likely to try out the platform without a free tier, limiting its reach.

- **Negative perception:**

Users may perceive the removal of free features as a greedy move by Spotify, which has tarnished the company's reputation and driven potential customers away.

- **Competitive disadvantage:**

Spotify's competitors may capitalize on the opportunity to attract disgruntled users by offering similar free features, potentially stealing market share from Spotify.

- **Increased churn:**

While the intention may be to incentivize users to upgrade to a premium subscription, it could backfire by driving users to alternative streaming platforms that still offer free features, thereby also increasing churn rate.

- **Overall, removing free features could stifle growth and profitability for Spotify.**

INTERNAL CHANGES

- **Strong marketing and PR Team:**

A strong team will create increased attraction of the targetted user base towards Spotify, thus increasing the profits. Also by increasing social media presence on popular platforms like Instagram and Twitter will help in creating a strong user base. Personalized user notifications can be made by the team.

- **Increasing the variety of available music to sounds:**

Spotify can expand its range to include White noise and other sound-therapy, instrumentals and meditation music.

- **Creating a live platform for artists to launch music:**

Artists can come live to perform for fundraisers or to launch their music. This will bring community interaction among users.

- **API monetization:**

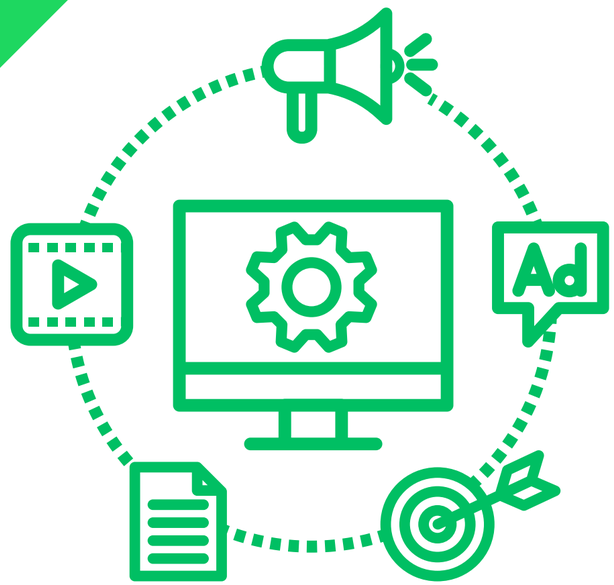
Spotify for developers is currently free which promotes piracy through bots.

- **Allowing users to create and upload their own music:**

Users can upload their own creations and AI bots can also be integrated for the same

- **Allowing artists to sell merchandise and lowering their royalty and commission charges to increase their loyalty towards Spotify.**

STRATEGIC CHANGES



Partnering with subscription services in India: Majority of Spotify's competitors offer a bundled experience to consumers.Partnering with Telecom and delivery subscription based companies will increase the consumer base.

Partnering with Smart devices and wearable manufacturers: Partnering with companies like Boat, JBL and Sony to bring an experience to consumers.

Promoting regional artists: Promoting new artists through ad campaigns and keeping Spotify experience campaigns with artists and the partnered Wearable manufacturers.

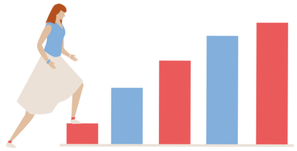
Partnering as streaming partner for community apps: Applications like Discord which have a strong community can use Spotify music bots

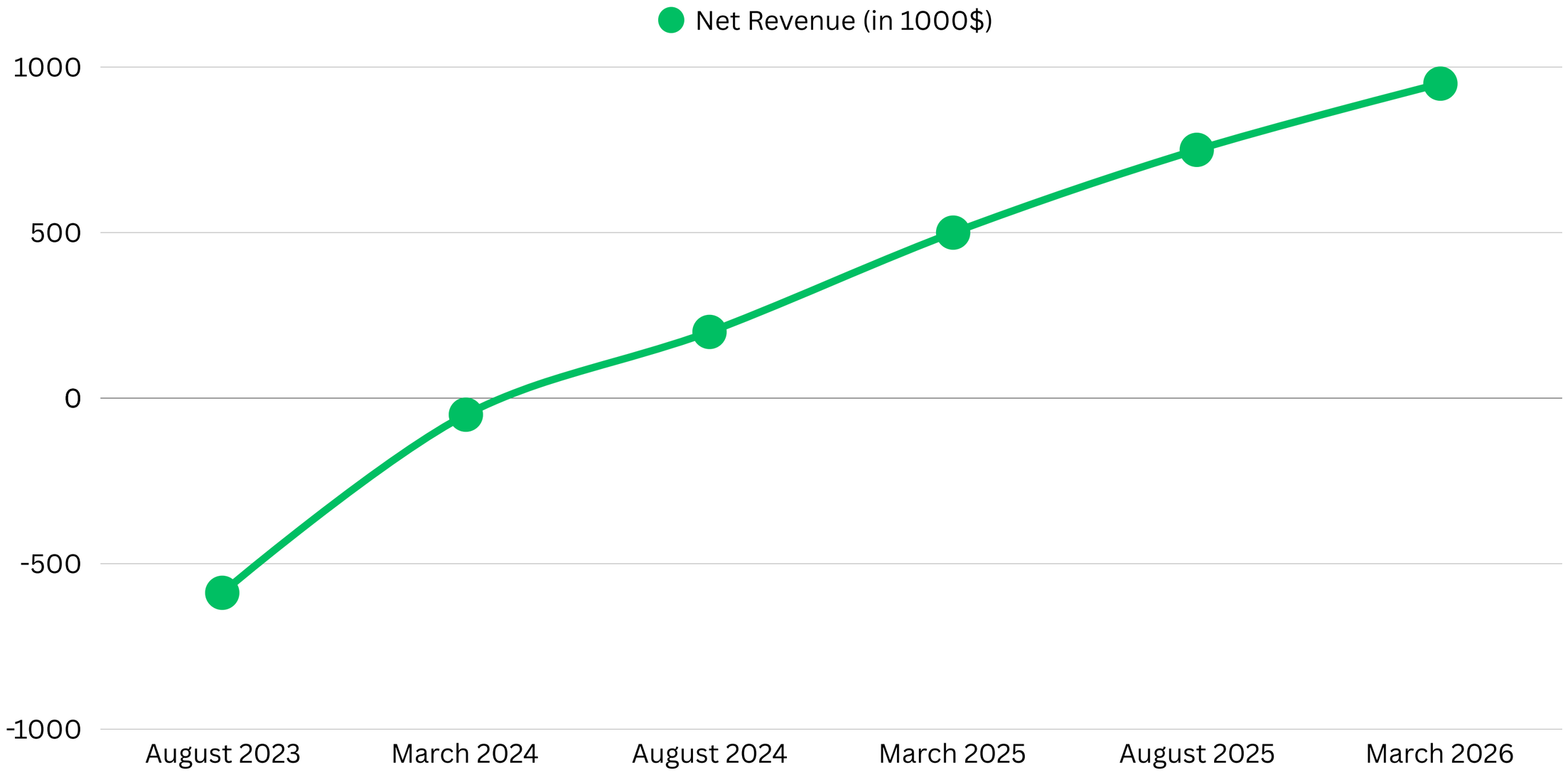
Keeping no regional restrictions on music: Everywhere around the world, any audio track on Spotify can be accessed irrespective of the region.

Freemium model: Instead of giving limited features, all features to be given to users for a 14-day trial.

Referral System for free users: Extension of premium features for more time for users with referrals

EXPECTED PROJECTIONS





THANK YOU!